Alibaba Group (BABA)

4QFY26 review: Cloud acceleration with MaaS driving margin upside as key bright spots; Buy

BABA	12m Price Target: **$186.00**	Price: **$134.78**	Upside: **38.0%**
9988.HK	12m Price Target: **HK$180.00**	Price: **HK$132.80**	Upside: **35.5%**

We are encouraged by Alibaba's constructive AI/cloud outlook despite mixed headline results (see our First Take), with positive inflections across **1)** further cloud revenue acceleration (+38%/+40% yoy overall/external in March quarter), where the company expects AI-related products to scale toward >50% of external cloud revenue over the next year (from 30% in March 2026 quarter), **2)** cloud margin expansion and fast-scaling of MaaS monetization (targeting ARR of Rmb10bn/US$1.5bn for June quarter & Rmb30bn by year-end), supported by price hikes and mix shift to higher-margin MaaS business & in-house T-Head chips ramp-up, **3)** higher capex spending ahead, given high utilization and strong net cash balance sheet, and **4)** quick commerce profit turnaround target on track over FY27-29E, with unit economics to reach positive for certain periods in FY27E.

We highlight key investor focuses and our thoughts around:

1) Further cloud revenue growth acceleration/cloud price hikes to have positive margin implications: While overall cloud growth came slightly below at 38% yoy/in-line external growth of 40% yoy, management commented on expectations of further growth acceleration ahead (with AI-related product contribution to external cloud revenue reaching 50% in 1 year). The company expects cloud margin expansion in the next 2 quarters to be driven by i) higher cloud pricing, ii) improving mix toward MaaS, which has higher gross margins than IaaS structurally, supported by improving inference efficiency and ongoing model capability upgrades (which could sustain pricing power over the next 1-2 years), and iii) further ramp up of T-head chips. We expect overall cloud revenue to accelerate to 40%/41% and cloud margin to improve to 9.8%/10.6% in 1QFY27E/FY27E vs. the company's long-term target of 20% margin.

2) AI MaaS reaching sizable ARR scale, with management

BUY CL

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Key Data

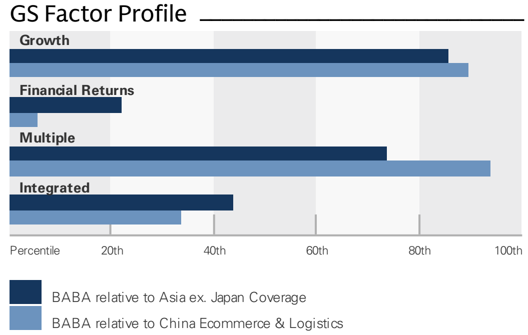
Market cap: $323.5bn
Enterprise value: $316.9bn
3m ADTV: $1.4bn
China
China Ecommerce & Logistics
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (Rmb mn) New	**1,023,670.0**	**1,123,838.7**	**1,251,258.3**	**1,394,732.6**
Revenue (Rmb mn) Old	1,026,014.2	1,130,069.8	1,240,785.7	–
EBITDA (Rmb mn)	113,655.7	149,082.2	242,502.2	332,187.7
EPS (Rmb) New	**27.36**	**35.99**	**55.37**	**82.24**
EPS (Rmb) Old	28.49	40.69	57.37	–
P/E (X)	36.5	25.4	16.5	11.1
P/B (X)	2.2	1.9	1.7	1.5
Dividend yield (%)	1.4	1.7	1.9	2.1
CROCI (%)	7.4	9.3	13.0	16.4

	3/26	6/26E	9/26E	12/26E
EPS (Rmb)	0.62	6.84	7.80	11.90

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

Alibaba Group (BABA)

BUY CL

Rating since May 8, 2015

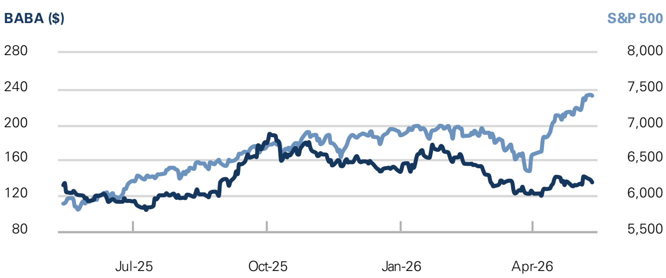
Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	36.5	25.4	16.5	11.1
P/B (X)	2.2	1.9	1.7	1.5
FCF yield (%)	(0.0)	(3.0)	1.0	4.9
EV/EBITDAR (X)	18.8	13.4	8.2	5.8
EV/EBITDA (excl. leases) (X)	18.8	13.4	8.2	5.8
CROCI (%)	7.4	9.3	13.0	16.4
ROE (%)	5.8	7.4	10.6	13.7
Net debt/equity (%)	(17.8)	(8.5)	(5.9)	(8.5)
Net debt/equity (excl. leases) (%)	(17.8)	(8.5)	(5.9)	(8.5)
Interest cover (X)	7.3	8.4	13.4	34.4
Days inventory outst, sales	0.0	0.0	0.0	0.0
Receivable days	–	–	–	–
Days payable outstanding	202.4	180.6	170.9	168.7
DuPont ROE (%)	5.2	6.8	9.6	12.3
Turnover (X)	0.5	0.6	0.6	0.6
Leverage (X)	1.6	1.6	1.6	1.6
Gross cash invested (ex cash) (Rmb)	1,464,568.1	1,661,268.9	1,857,414.0	2,071,699.6
Average capital employed (Rmb)	1,144,189.2	1,264,307.4	1,386,646.2	1,478,354.6
BVPS (Rmb)	464.21	492.86	535.79	601.08

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	2.7	9.8	11.3	11.5
EBITDA growth	(43.8)	31.2	62.7	37.0
EPS growth	(58.4)	31.5	53.8	48.5
DPS growth	NM	NM	NM	NM
EBIT margin	7.0	7.9	11.2	13.7
EBITDA margin	11.1	13.3	19.4	23.8
Net income margin	5.9	7.3	9.9	12.4

Price Performance



	3m	6m	12m
Absolute	(15.1)%	(14.6)%	1.7%
Rel. to the S&P 500	(21.6)%	(21.0)%	(19.7)%

Source: FactSet. Price as of 12 May 2026 close.

Income Statement (Rmb mn)

	3/26	3/27E	3/28E	3/29E
Total revenue	1,023,670.0	1,123,838.7	1,251,258.3	1,394,732.6
Cost of goods sold	(614,113.0)	(685,878.7)	(757,011.3)	(829,545.1)
SG&A	(271,323.0)	(280,771.3)	(286,901.0)	(309,278.6)
R&D	(60,517.0)	(61,281.8)	(59,979.0)	(64,633.1)
Other operating inc./(exp.)	35,938.7	53,175.4	95,135.2	140,911.9
EBITDA	**113,655.7**	**149,082.2**	**242,502.2**	**332,187.7**
Depreciation & amortization	(42,318.7)	(60,391.8)	(102,191.2)	(141,774.3)
EBIT	**71,337.0**	**88,690.3**	**140,311.1**	**190,413.4**
Net interest inc./(exp.)	77,719.0	(6,044.5)	(6,566.4)	938.7
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**89,238.0**	**96,585.2**	**147,991.1**	**203,064.3**
Provision for taxes	(30,045.0)	(15,282.4)	(25,938.1)	(39,311.6)
Minority interest	1,465.0	824.0	1,398.5	9,359.9
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**60,658.0**	**82,126.8**	**123,451.6**	**173,112.6**
Post-tax exceptionals	42,934.0	(17,931.7)	(17,743.1)	(7,511.6)
Net inc. (post-exceptionals)	**103,592.0**	**64,195.2**	**105,708.5**	**165,600.9**
EPS (basic, pre-except) (Rmb)	**26.44**	**36.71**	**56.31**	**80.16**
EPS (diluted, pre-except) (Rmb)	**25.79**	**35.81**	**54.93**	**78.20**
EPS (basic, post-except) (Rmb)	**45.15**	**28.69**	**48.22**	**76.68**
EPS (diluted, post-except) (Rmb)	**44.04**	**27.99**	**47.04**	**74.81**
DPS (Rmb)	–	–	–	–
Div. payout ratio (%)	0.0	0.0	0.0	0.0

Balance Sheet (Rmb mn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	177,639.4	83,071.4	63,079.9	108,335.9
Accounts receivable	–	–	–	–
Inventory	1.0	1.0	1.0	1.0
Other current assets	490,881.3	515,220.6	539,345.2	563,945.1
Total current assets	**668,521.7**	**598,293.1**	**602,426.1**	**672,282.0**
Net PP&E	300,701.1	421,483.9	520,519.6	602,764.9
Net intangibles	270,623.7	264,964.1	259,430.3	256,606.7
Total investments	570,426.8	573,866.6	577,306.4	580,746.2
Other long-term assets	95,085.8	102,048.6	109,500.5	119,000.0
Total assets	**1,905,359.0**	**1,960,656.3**	**2,069,182.9**	**2,231,399.9**
Accounts payable	336,793.8	341,988.7	367,023.4	399,651.8
Short-term debt	23,293.3	26,456.8	28,771.0	29,017.0
Short-term lease liabilities	–	–	–	–
Other current liabilities	72,547.3	73,945.9	76,023.5	78,345.1
Total current liabilities	**432,634.4**	**442,391.3**	**471,817.9**	**507,013.8**
Long-term debt	174,919.3	182,052.3	187,270.4	187,825.0
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	129,348.0	129,348.0	129,348.0	129,348.0
Total long-term liabilities	**304,267.3**	**311,400.3**	**316,618.4**	**317,173.0**
Total liabilities	**736,901.7**	**753,791.6**	**788,436.3**	**824,186.8**
Preferred shares	–	–	–	–
Total common equity	1,091,850.3	1,130,257.6	1,204,139.6	1,330,606.0
Minority interest	**80,248.0**	**80,248.0**	**80,248.0**	**80,248.0**
Total liabilities & equity	**1,909,000.0**	**1,964,297.3**	**2,072,823.9**	**2,235,040.9**
Net debt, adjusted	(208,252.8)	(103,388.3)	(75,864.4)	(120,320.0)

Cash Flow (Rmb mn)

	3/26	3/27E	3/28E	3/29E
Net income	103,592.0	64,195.2	105,708.5	165,600.9
D&A add-back	39,414.3	60,391.8	102,191.2	141,774.3
Minority interest add-back	(1,465.0)	(824.0)	(1,398.5)	(9,359.9)
Net (inc)/dec working capital	(21,199.0)	(24,708.7)	(4,464.2)	850.7
Other operating cash flow	12,645.0	15,971.4	17,012.1	25,369.1
Cash flow from operations	**132,987.4**	**115,025.7**	**219,049.1**	**324,235.0**
Capital expenditures	(133,077.1)	(177,566.5)	(197,698.8)	(223,157.2)
Acquisitions	(3,439.8)	(3,439.8)	(3,439.8)	(3,439.8)
Divestitures	–	–	–	–
Others	–	–	–	–
Cash flow from investing	**(134,418.9)**	**(178,954.9)**	**(199,132.8)**	**(224,635.8)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	–	–	–	–
Inc/(dec) in debt	3,343.6	10,296.5	7,532.3	800.5
Other financing cash flows	(13,540.7)	(40,935.3)	(47,440.1)	(55,143.6)
Cash flow from financing	**(10,197.1)**	**(30,638.8)**	**(39,907.8)**	**(54,343.1)**
Total cash flow	**(11,628.6)**	**(94,568.0)**	**(19,991.5)**	**45,256.1**
Free cash flow	(89.7)	(62,540.8)	21,350.3	101,077.8

Source: Company data, Goldman Sachs Research estimates.

expecting hypergrowth into year-end, where the company expects Rmb10bn/US$1.4bn for June quarter, which will be majority driven by its Balian MaaS API platform where in-house models (like Qwen, and multi-modal) were key contributors. Management also commented on their expectation of 3X in ARR scale to Rmb30bn by year-end. The company will continue to prioritize R&D across different modalities (foundation model, world model, video model, etc.). Management expects explosive growth on the Bailian MaaS API platform (10x+ in May-June 2026 vs. Nov-Dec 2025), with AI coding as a major demand driver. Despite higher token pricing, customer demand remains strong and computing is in constraint, and management believes willingness to pay is rising in China.

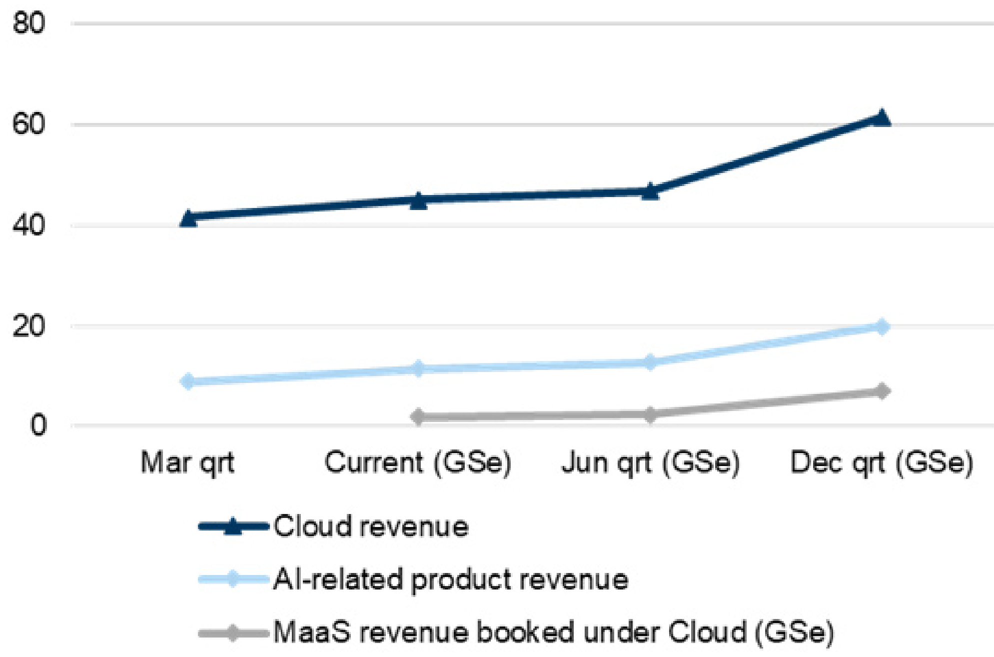
3) Capex slightly softer in March quarter, yet more spending ahead with positive ROI and sufficient funding sources, where management expects continued capex spending into compute for AI training/inference, supported by i) healthy cash flow generation from China eCommerce (Taobao-Tmall resilience/Quick Commerce loss narrowing) and AIDC (near breakeven in FY26), ii) organic AI+Cloud funding from revenue and gross profit expansion, and iii) US$59bn net cash excl. long-term debt and strong capital market access. The company continues to target data center capacity to reach 10X vs. 2022 level leveraging self-construction/co-develop/renting, with payback period to-date being better than expected given visible enterprise-side return across IaaS, MaaS and AI-native products. We continue to estimate capex to increase to Rmb178bn/198bn in FY27E/FY28E (largely unchanged).

4) Quick commerce UE turnaround pace and CMR outlook under accounting change, where quick commerce scaled up with order volume (2.7x/3.0x in blended/non-food orders vs. a year ago) and UE improvements (significant recovery since April) on the back of higher AOV and fulfillment efficiency. Management continues to expect quick commerce to turn profitable in FY29E, with potential UE turnaround in certain months in FY27E, and highlighted growing synergies with Taobao-Tmall/Freshippo/Tmall Supermarket in driving user acquisition, purchase frequency, and food/fresh category expansion. We expect CMR growth of -2%/0% in 1QFY27E/FY27E on the back of higher base from trade-in program. We estimate quick commerce loss to narrow further to Rmb-15bn in the Jun quarter, driven by both operating efficiency improvement and AOV increase.

We revise our FY27E-FY28E adj. net profit by -12%/-3% mainly on higher “All others” loss (mainly AI model and AI applications, given Rmb-21bn in March quarter, vs. Rmb-9bn at Tencent), and maintain our SOTP-based 12-month target prices at US$186/HK$180. We expect Alibaba to deliver a solid EPS recovery of +32%/+54% yoy for FY27E/FY28E, to be driven by continued leadership in its AI + Cloud business in China with further acceleration in cloud growth and a recovery in China eCommerce profits with narrowing quick commerce loss over the next few quarters. We believe current valuations do not fully reflect Alibaba’s full-stack AI positioning nor its international cloud potential. We see Alibaba as a key mega-cap capable of increasing investments in AI To-B and To-C initiatives over the next 12-24 months while delivering double-digit group profit growth. Maintain Buy (on the APAC Conviction List). We also introduce FY29 estimates.

The author would like to thank Iris Xiao for her contribution to this report.

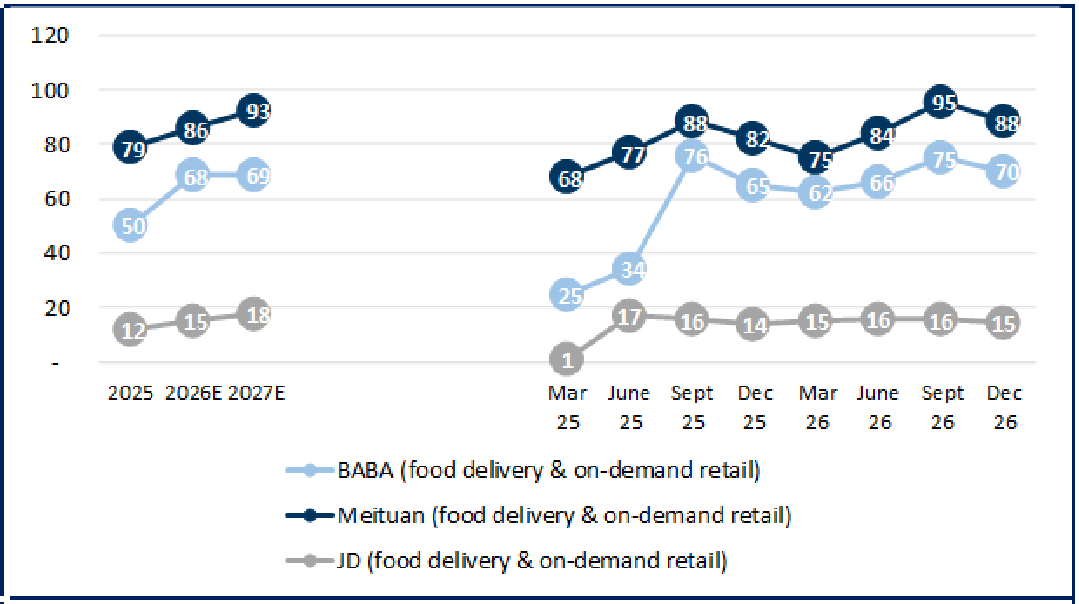
Exhibit 1: Cloud revenue breakdown with growing contribution from AI-related product, notably MaaS/API
We calculate MaaS revenue booked under Cloud revenue (GSe) based on ARR disclosure, with MaaS API revenue at c.35% of AI-related revenue by year-end



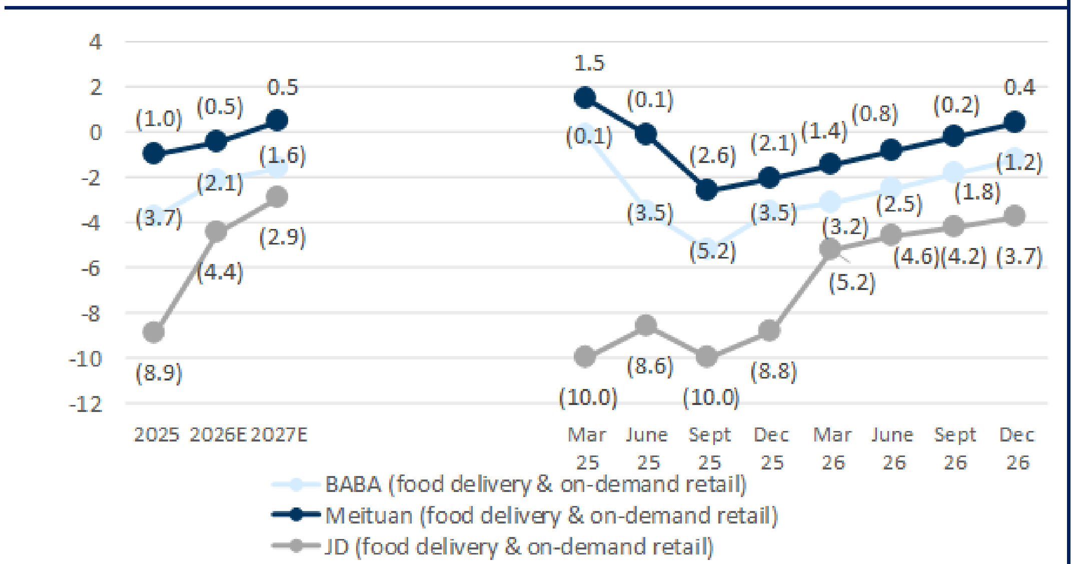
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: Food delivery + instant shopping comparisons between Meituan, Alibaba and JD (GS estimates)

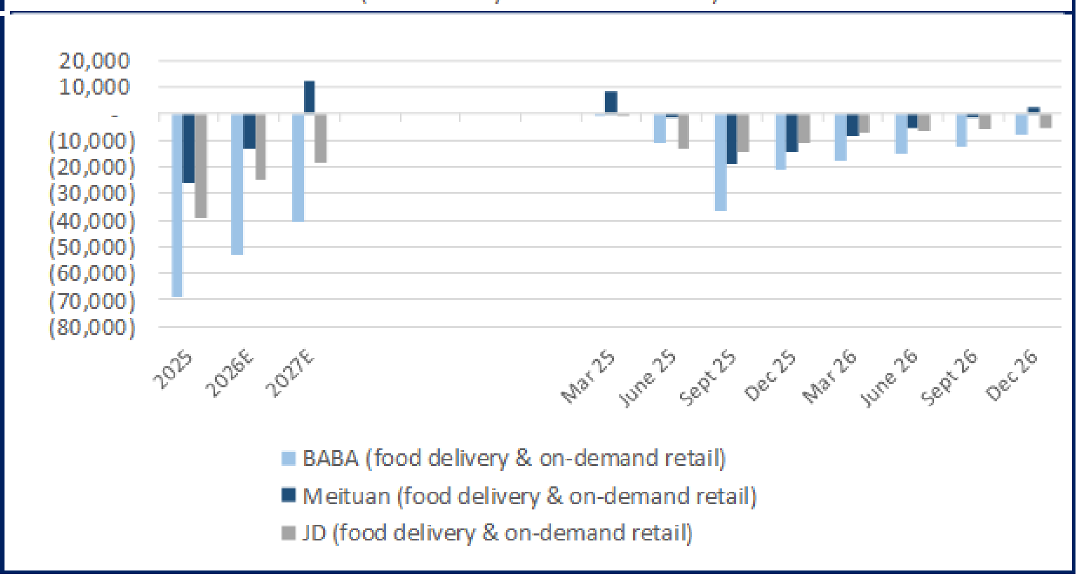
Average daily order volume by platform (on-demand retail + food delivery, mn)



UE by platform (on-demand retail + food delivery, Rmb)



Adj. operating profit/loss of on-demand retail + food delivery by platform (Rmb mn)



Source: Goldman Sachs Global Investment Research

Exhibit 3: Alibaba by segment performance and our estimates

By segment (Rmb mn)	FY24	FY25	FY26	FY27E	FY28E	FY29E	1QFY26	2QFY26	3QFY26	4QFY26	1QFY27E	2QFY27E	3QFY27E	4QFY27E
Group revenue	941,168	996,347	1,023,670	1,123,839	1,251,258	1,394,733	247,652	247,795	284,843	243,380	267,753	271,660	316,886	267,540
yoy %	8%	6%	3%	10%	11%	11%	2%	5%	2%	3%	8%	10%	11%	10%
Group EBITA	165,028	173,065	76,416	92,299	143,839	191,276	38,844	9,073	23,397	5,102	18,169	20,077	32,126	21,927
EBITA margin %	18%	17%	7%	8%	11%	14%	16%	4%	8%	2%	7%	7%	10%	8%
yoy %	**12%**	**5%**	**-56%**	**21%**	**56%**	**33%**	**-14%**	**-78%**	**-57%**	**-84%**	**-53%**	**121%**	**37%**	**330%**
Adj. net profit attributable to shareholders	158,359	157,940	64,359	82,541	124,440	182,062	35,291	10,450	17,112	1,506	15,877	18,225	28,053	20,386
Adj. net margin %	17%	16%	6%	7%	10%	13%	14%	4%	6%	1%	6%	7%	9%	8%
yoy %	**10%**	**0%**	**-59%**	**28%**	**51%**	**46%**	**-12%**	**-71%**	**-67%**	**-95%**	**-55%**	**74%**	**64%**	**1254%**
Non-gaap EPS (Rmb)	62.35	65.81	27.36	35.99	55.37	82.24	14.75	4.36	7.09	0.62	6.84	7.80	11.90	9.45
yoy %	**14%**	**6%**	**-58%**	**32%**	**54%**	**49%**	**-10%**	**-71%**	**-67%**	**-95%**	**-54%**	**79%**	**68%**	**1415%**
By Business group														
China E-commerce business group														
GMV (GSe)	7,699	8,073	8,317	8,450	8,603	8,689	2,208	1,946	2,390	1,772	2,231	1,981	2,433	1,805
yoy %	4%	5%	3%	2%	2%	1%	5%	6%	-2%	5%	1%	2%	2%	2%
China e-commerce business group revenue		508,380	554,217	586,265	611,030	634,223	140,072	132,578	159,347	122,220	148,002	137,701	172,949	127,614
yoy %*			9%	6%	4%	4%	10%	16%	6%	6%	6%	4%	9%	4%
Customer management revenue (CMR)	304,009	326,769	343,867	344,644	351,693	360,139	89,252	78,927	102,664	73,024	87,486	79,840	103,328	73,990
yoy %	5%	7%	5%	0%	2%	2%	10%	10%	1%	1%	-2%	1%	1%	1%
China e-commerce business group EBITA		193,223	107,509	146,524	166,200	186,461	38,389	10,497	34,613	24,010	33,004	33,324	45,486	34,711
EBITA margin %		38.0%	19.4%	25.0%	27.2%	29.4%	27.4%	7.9%	21.7%	19.6%	22.3%	24.2%	26.3%	27.2%
yoy %			-44%	36%	13%	12%	-21%	-76%	-43%	-40%	-14%	217%	31%	45%
China e-commerce EBITA excl. Quick Commerce		194,164	193,507	186,979	185,327	185,257	49,324	46,855	55,543	41,784	48,095	45,744	53,205	39,935
yoy %			0%	-3%	-1%	0%	1%	5%	-9%	0%	-2%	-2%	-4%	-4%
Quick Commerce EBITA (losses)		(941)	(85,998)	(40,455)	(19,127)	1,204	(10,935)	(36,358)	(20,930)	(17,774)	(15,091)	(12,420)	(7,720)	(5,225)
Cloud Intelligence Group														
Revenue	106,374	118,028	158,132	222,780	304,099	402,982	33,398	39,824	43,284	41,626	46,822	56,213	61,499	58,245
yoy %	3%	11%	34%	41%	37%	33%	26%	34%	36%	38%	40%	41%	42%	40%
External revenue yoy%			33%	45%	40%	38%	26%	29%	35%	40%	44%	45%	46%	43%
EBITA	6,121	10,556	14,265	23,540	34,363	48,358	2,954	3,604	3,911	3,796	4,589	5,902	6,642	6,407
EBITA margin %	5.8%	8.9%	9.0%	10.6%	11.3%	12.0%	8.8%	9.0%	9.0%	9.1%	9.8%	10.5%	10.8%	11.0%
Alibaba International Digital Commerce Group														
Revenue	102,598	132,300	144,170	152,697	159,696	165,530	34,741	34,799	39,201	35,429	36,793	36,895	41,579	37,430
yoy %	48%	29%	9%	6%	5%	4%	19%	10%	4%	6%	6%	6%	6%	6%
EBITA	(8,035)	(15,137)	(2,051)	(791)	319	993	(59)	162	(2,016)	(138)	(74)	37	(624)	(131)
EBITA margin %	-7.8%	-11.4%	-1.4%	-0.5%	0.2%	0.6%	-0.2%	0.5%	-5.1%	-0.4%	-0.2%	0.1%	-1.5%	-0.4%
All others (incl. Qwen AI model/application)														
Revenue		338,347	254,367	279,804	307,784	338,562	58,599	62,969	67,340	65,459	64,150	69,282	74,132	72,241
yoy %			-25%	10%	10%	10%	-28%	-25%	-25%	-21%	9%	10%	10%	10%
EBITA		(9,499)	(35,737)	(69,650)	(49,245)	(37,242)	(1,415)	(3,370)	(9,792)	(21,160)	(17,641)	(17,320)	(17,495)	(17,193)
EBITA margin %		-2.8%	-14.0%	-24.9%	-16.0%	-11.0%	-2.4%	-5.4%	-14.5%	-32.3%	-27.5%	-25.0%	-23.6%	-23.8%
Share of profit (loss) in investees	(7,735)	5,966	2,785	5,880	6,734	8,354	1,013	2,241	216	(685)	810	1,640	1,692	1,737
Ant Financial (33%. 1qr lag pick up)	7,860	12,648	5,048	6,971	7,779	8,741	1,547	2,733	393	375	1,083	1,913	1,965	2,010
Others	(2,154)	(2,276)	1,624	1,000	1,000	1,000	455	671	696	(198)	250	250	250	250

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: Our estimate changes at a glance

							Old	
By segment (Rmb mn)	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY27E	FY28E
Group revenue	941,168	996,347	1,023,670	1,123,839	1,251,258	1,394,733	-1%	1%
yoy %	8%	6%	3%	10%	11%	11%		
Group EBITA	165,028	173,065	76,416	92,299	143,839	191,276	-9%	0%
EBITA margin %	18%	17%	7%	8%	11%	14%		
yoy %	**12%**	**5%**	**-56%**	**21%**	**56%**	**33%**		
Adj. net profit attributable to shareholders	158,359	157,940	64,359	82,541	124,440	182,062	-12%	-3%
Adj. net margin %	17%	16%	6%	7%	10%	13%		
yoy %	**10%**	**0%**	**-59%**	**28%**	**51%**	**46%**		
Non-gaap EPS (Rmb)	62.35	65.81	27.36	35.99	55.37	82.24	-12%	-3%
yoy %	**14%**	**6%**	**-58%**	**32%**	**54%**	**49%**		

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Our 12-month SOTP-based target prices for BABA/9988.HK are US$186/HK$180 (unchanged) per ADS/share

SOTP, FY27	Description	EV/Rev	PE (X)	Value (US$ mn)	To BABA	to BABA (US$ mn)	US$/sh	% of NAV	Comment
A. CORE									
1 China E-commerce Group		2.4	12	188,476	100.0%	188,476	80.1	43.1%	12x P/E
China E-commerce excl. Quick Commerce		2.5	9	170,396	100.0%	170,396	72.4	38.9%	9x P/E, on slower Taobao-Tmall/CMR growth
Quick commerce	O2O	1.4	15	18,080	100.0%	18,080	7.7	4.1%	Assuming 81mn daily orders in CY28E and Rmb0.4 per order non-GAAP EBIT (long-term), 15% tax rate, 15x P/E referencing Meituan on-demand delivery valuation, discounted back at 12% WACC
2 International commerce		1.3		27,786	89.3%	24,818	10.6	5.7%	
3 Cloud Computing	AliCloud	5.0	66	157,100	100.0%	157,100	66.8	35.9%	At 4.4X sales on FY27E revenue (or 6X on FY27E external revenue)
Domestic		4.0		130,663	100.0%	130,663	55.6	29.9%	4X sales on FY28E domestic AliCloud revenue, discounted back at 12% WACC
International		8.5	20	26,437	100.0%	26,437	11.2	6.0%	20X EV/EBIT implied on FY28E AliCloud international revenue (external only) on normalized 25% EBIT margin, discounted back at 12% WACC
4 All others		1.0		37,288	100.0%	37,288	15.9		1x sales
Total Core		2.3	24			407,682	173.3	93.2%	
B. Associate/investments									
Total associate/investments				848,357		63,248	26.9	14.5%	
						470,930			
C. Net cash						45,802	19.5	10%	Latest as of 4QFY26
Total						516,732	219.7	118%	
D. Less holdco discount					15%	(79,577)	(33.8)	-18%	
NAV : BABA US, in US$			51.6			437,155	186.0	100%	52x FY26E PE
NAV : 9988.HK, in HK$			51.6			3,393,237	180.0	100%	
Fully diluted # of shares							2,352		FY26E

Valuation methodology unchanged.

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Alibaba Group

Valuation methodology: We are Buy rated on BABA/9988.HK, with SOTP-based 12-month target prices of US$186/HK$180 per ADS/sh (FY27E-based).

Key risks: (1) Lower-than-expected GMV growth due to macro/competition; (2) Slower-than-expected monetization in China retail; (3) Weaker-than-expected execution in key strategic investments; and (4) Cloud revenue growth deceleration.

Disclosure Appendix

Reg AC

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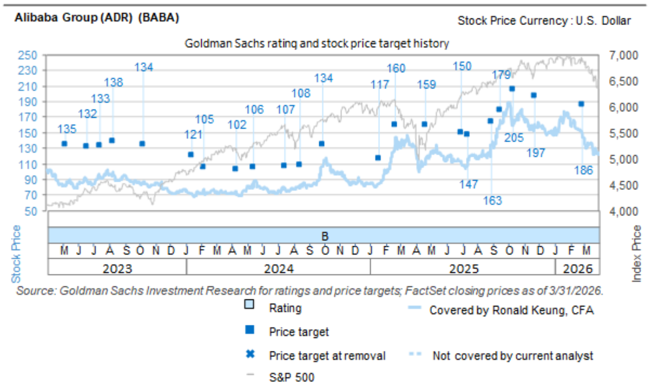

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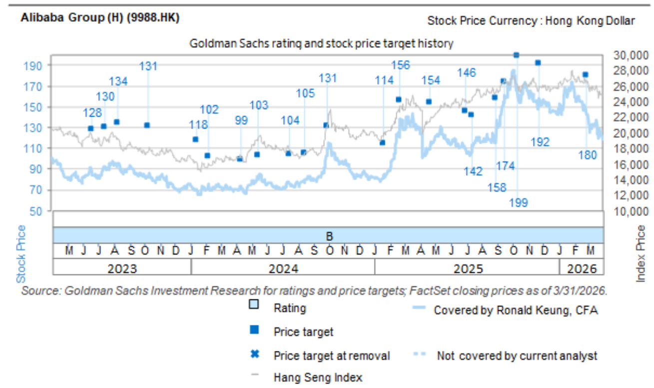

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Target price history table(s)

Alibaba Group (ADR) (BABA)

Date of report	Target price ($)	Closing price ($)
27-Feb-26	186.00	144.11
25-Nov-25	197.00	157.01
12-Oct-25	205.00	159.01
16-Sep-25	179.00	162.21
31-Aug-25	163.00	135.00
15-Jul-25	147.00	116.97
02-Jul-25	150.00	110.71
21-Apr-25	159.00	110.15
20-Feb-25	160.00	135.97
20-Jan-25	117.00	85.12
29-Sep-24	134.00	107.33
15-Aug-24	108.00	79.54
16-Jul-24	107.00	78.38
15-May-24	106.00	80.99
11-Apr-24	102.00	74.85
07-Feb-24	105.00	73.64
15-Jan-24	121.00	71.84
09-Oct-23	134.00	84.85
10-Aug-23	138.00	99.21
16-Jul-23	133.00	94.56
20-Jun-23	132.00	87.93

Alibaba Group (H) (9988.HK)

Date of report	Target price (HK$)	Closing price (HK$)
27-Feb-26	180.00	142.90
25-Nov-25	192.00	157.80
12-Oct-25	199.00	165.40
16-Sep-25	174.00	153.50
31-Aug-25	158.00	115.70
15-Jul-25	142.00	113.50
02-Jul-25	146.00	109.40
21-Apr-25	154.00	108.70
20-Feb-25	156.00	120.90
20-Jan-25	114.00	84.55
29-Sep-24	131.00	102.50
15-Aug-24	105.00	76.40
16-Jul-24	104.00	75.50
15-May-24	103.00	82.65
11-Apr-24	99.00	74.20
07-Feb-24	102.00	74.90
15-Jan-24	118.00	70.00
09-Oct-23	131.00	82.10
10-Aug-23	134.00	94.30
16-Jul-23	130.00	92.95
20-Jun-23	128.00	88.35

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